

Multiple Choice (10 marks)

1. Scarcity is best defined as
 - (a) the opportunity cost of not pursuing a given course of action.
 - (b) the difference between unlimited wants and limited economic resources.
 - (c) the difference between unlimited resources and unlimited economic wants.
 - (d) the opportunity cost of pursuing a given course of action.
 - (e) the difference between the total benefit of an action and the total cost of that action.
2. Suppose real GDP increases. We can conclude without a doubt that
 - (a) the average wage is higher.
 - (b) the national debt is lower.
 - (c) production is higher.
 - (d) prices are higher.
 - (e) employment is higher.
3. Labor productivity and economic growth increase if
 - (a) a nation discourages investment in technology.
 - (b) a nation decreases spending on public services.
 - (c) a nation ignores societal barriers like discrimination.
 - (d) a nation promotes monopolies in industry.
 - (e) a nation imposes tariffs and quotas on imported goods.
4. The fixed effects panel model is also sometimes known as
 - (a) The pooled cross-sectional model
 - (b) The random effects model
 - (c) The fixed variable regression model
 - (d) The instrumental variables regression model
 - (e) The generalized least squares approach
5. If the standard of living increases we can conclude that
 - (a) output must have increased proportionally more than population.
 - (b) the cost of living and population must have increased.
 - (c) the cost of living must have decreased.
 - (d) population must have decreased.
 - (e) output and population must have increased.

True / False (10 marks)

Answer True or False

6. True or False: A natural monopoly achieves allocative efficiency when price is equal to marginal cost.
7. True or False: The slope of the consumption function is equal to the marginal propensity to consume (MPC).
8. True or False: The bank's actual reserves can be calculated as \$50,000 based solely on the required reserve ratio of 20%.
9. True or False: Shocks in a stationary autoregressive process will lead to a permanent change in the trend of the data.
10. True or False: A decrease in the reserve ratio will result in an increase in excess reserves held by banks.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the effects of contractionary fiscal policy in the United States on domestic interest rates and the international value of the dollar, providing a detailed analysis of the mechanisms involved.
12. Discuss the characteristics of pure public goods, focusing on the implications of zero marginal cost for additional consumption by citizens.

End of Paper